Reinsurance Treaty - EX2025001 - 7

Treaty Number:	EX2025001
Cedent:	Example Cedent Inc.
Reinsurer:	Example Reinsurer Corp.
Effective Date:	01 January 2025
Expiry Date:	31 December 2025
Treaty Type:	Proportional

QUOTA SHARE REINSURANCE TREATY

TREATY NUMBER: EX2025001_7

•

PARTIES TO THE TREATY

THE CEDING COMPANY:

Example Cedent Inc.

[Registered Address]

[Registration Number]

(hereinafter referred to as "the Company" or "the Reinsured")

THE REINSURER:

Example Reinsurer Corp.

[Registered Address]

[Registration Number]

(hereinafter referred to as "the Reinsurer")

•

ARTICLE 1: GENERAL PROVISIONS

1.1 Treaty Period

This Quota Share Reinsurance Treaty shall be effective from **01 January 2025 at 00:01 hours** to **31 December 2025 at 24:00 hours**, both dates and times local standard time at the address of the Company.

1.2 Treaty Type

This is a Proportional Quota Share Reinsurance Treaty on a risks attaching basis.

1.3 Governing Law

This Treaty shall be governed by and construed in accordance with the laws of England and Wales.

1.4 Currency

Unless otherwise specified, all monetary amounts referenced in this Treaty are expressed in **Euros (EUR)**.

•

ARTICLE 2: BUSINESS COVERED

2.1 Classes of Business

This Treaty shall apply to the following classes of business written by the Company:

Property Insurance:

• Commercial property (fire, explosion, natural perils)

• Industrial risks

• Office and retail premises

• Residential property (excluding single family dwellings under EUR 250,000)

Casualty Insurance:

• General liability

• Product liability

• Professional indemnity

• Employers' liability

2.2 Territorial Scope

Coverage is limited to risks located within the following territories:

• United Kingdom

• Republic of Ireland

• European Union member states

• Switzerland

• Norway

2.3 Excluded Business

The following classes of business are specifically excluded from this Treaty:

• Aviation and space risks

• Marine hull and cargo

• Credit and surety

• Financial lines (D&O;, E&O;)

• Nuclear energy risks

• War and terrorism (except as provided under Pool arrangements)

• Cyber risks as primary coverage

• Asbestos-related liabilities

• Pollution and environmental impairment (gradual)

• Risks written for captive insurance purposes

•

ARTICLE 3: DEFINITIONS

3.1 Key Terms

"Gross Written Premium" means the total premium written by the Company including additional premiums, reinstatement premiums, and adjustments, before deduction of commission, brokerage, taxes, or any other deduction.

"Net Retained Premium" means the Gross Written Premium less the Reinsurance Premium ceded under this Treaty and any other reinsurance arrangements.

"Ultimate Net Loss" means the total sum paid or payable by the Company in settlement of losses, including loss adjustment expenses, after making deductions for all salvages, recoveries, and all other reinsurance, but before any deduction in respect of this Treaty.

"Loss Adjustment Expenses" means all expenses incurred by the Company in the investigation, adjustment, and settlement of claims, including legal expenses and experts' fees.

"Risk Attaching" means that this Treaty shall apply to all risks incepting or renewing during the Treaty Period, regardless of when losses occur.

"Cession" means the transfer of a portion of risk from the Company to the Reinsurer under the terms of this Treaty.

•

ARTICLE 4: REINSURANCE SHARE AND RETENTION

4.1 Quota Share Percentage

The Company shall cede and the Reinsurer shall accept **60%** of each and every risk falling within the scope of this Treaty.

The Company shall retain for its own account **40%** of each and every such risk.

4.2 Automatic Cession

The cession of risks under this Treaty shall be automatic and obligatory, subject to the terms, conditions, and limitations herein contained.

4.3 Capacity Limitations

Per Risk Limitation:

• Maximum Cession per Risk: EUR 5,000,000

• Maximum Company Retention per Risk: EUR 3,333,333

• Maximum Total Exposure per Risk: EUR 8,333,333

Aggregate Annual Limitation:

• Maximum Aggregate Cession: EUR 50,000,000

• The Reinsurer's liability for all losses during the Treaty Period shall not exceed EUR 50,000,000 in the aggregate.

4.4 Binding Authority

The Company is authorized to bind the Reinsurer automatically up to the limits specified in Article 4.3 without prior reference, subject to strict compliance with the underwriting guidelines attached as **Appendix A**.

•

ARTICLE 5: PREMIUM PROVISIONS

5.1 Reinsurance Premium

The Reinsurer shall receive **60%** of the Gross Written Premium on all business ceded under this Treaty.

5.2 Premium Payment Basis

Premiums shall be accounted for on a **quarterly basis** with accounts rendered within **45 days** following the end of each calendar quarter.

Quarterly Periods:

• Q1: 01 January - 31 March

• Q2: 01 April - 30 June

• Q3: 01 July - 30 September

• Q4: 01 October - 31 December

5.3 Premium Payment Terms

Payment of the balance shown on the quarterly account shall be made within **30 days** of receipt of the account statement by the Company.

5.4 Minimum and Deposit Premium

Minimum Annual Premium: EUR 2,500,000

Deposit Premium: EUR 3,000,000 payable as follows:

• EUR 1,500,000 on 01 January 2025

• EUR 750,000 on 01 April 2025

• EUR 750,000 on 01 July 2025

Deposit premiums shall be credited against quarterly premium accounts. Any shortfall at year-end shall be payable with the final adjustment. The Minimum Annual Premium shall be fully earned regardless of actual premium volume.

5.5 Premium Adjustments

All premium adjustments, including return premiums, cancellations, and endorsements, shall be accounted for in the quarter in which they are processed by the Company.

5.6 Premium Reserves

The Reinsurer shall maintain a reserve for unearned premium in accordance with generally accepted accounting principles and regulatory requirements.

•

ARTICLE 6: COMMISSION AND PROFIT COMMISSION

6.1 Ceding Commission

The Reinsurer shall allow the Company a provisional ceding commission of **30%** of the Reinsurance Premium ceded under this Treaty.

This commission is intended to cover:

• Acquisition costs

• Administrative expenses

• Premium collection costs

• General overhead allocation

6.2 Sliding Scale Commission

The provisional commission of 30% shall be subject to adjustment under the following sliding scale based on the Loss Ratio:

Loss Ratio	Commission Rate
0% - 50%	35%
50.01% - 55%	33%
55.01% - 60%	31%
60.01% - 65%	30%
65.01% - 70%	28%
70.01% - 75%	26%
Over 75%	25%

Loss Ratio Formula:

```
Loss Ratio = (Incurred Losses + Loss Adjustment Expenses) / Net Earned Premium × 100
```

6.3 Profit Commission

In addition to the ceding commission, the Company shall be entitled to a profit commission calculated as follows:

Profit Commission Rate: 20% of underwriting profit

Underwriting Profit Calculation:

```

Net Earned Premium

Less: Incurred Losses

Less: Loss Adjustment Expenses

Less: Adjusted Ceding Commission

Less: Reinsurer's Expense Allowance (2%)

= Underwriting Profit (if positive)

```

Profit Commission = Underwriting Profit × 20%

6.4 Loss Carry Forward

Any underwriting loss in a treaty year shall be carried forward and offset against profits in subsequent treaty years for up to **three consecutive years** before any profit commission becomes payable.

6.5 Commission Adjustment

Final commission and profit commission adjustments shall be calculated and paid within **90 days** following the end of the Treaty Period, based on accounts as at 31 December 2025.

•

ARTICLE 7: LOSS PROVISIONS

7.1 Loss Participation

The Reinsurer shall participate in all Ultimate Net Losses in the same proportion as the Reinsurance Premium bears to the Gross Written Premium, subject to the limitations set forth in this Treaty.

7.2 Loss Settlement Basis

All losses shall be settled on an **Ultimate Net Loss** basis, meaning the Reinsurer's liability shall be determined after all other recoveries have been exhausted.

7.3 Loss Adjustment Expenses

Allocated Loss Adjustment Expenses (ALAE): Included within the per-risk limits and shared in the quota share percentage of 60%.

Unallocated Loss Adjustment Expenses (ULAE): The Reinsurer shall contribute 2% of paid losses as a flat allowance for ULAE.

7.4 Loss Reporting

The Company shall report all losses to the Reinsurer in accordance with the following schedule:

Monthly Bordereaux: Due within 30 days of month-end, including:

• All new losses exceeding EUR 100,000 (Company's retention)

• All developments on previously reported losses exceeding EUR 50,000

• Summary statistics of all losses

Quarterly Detailed Reports: Due within 45 days of quarter-end, including:

• Complete loss listing with full details

• Case reserves and paid amounts

• Loss development triangles

• Large loss narratives (losses exceeding EUR 500,000)

7.5 Loss Payments

Payment Terms:

• Losses under EUR 250,000: Payable quarterly with premium accounts

• Losses EUR 250,000 to EUR 1,000,000: Payable within 30 days of settlement by the Company

• Losses exceeding EUR 1,000,000: Payable within 15 days of settlement by the Company

Cash Call Provision: For losses exceeding EUR 2,000,000, the Company may request immediate cash call payment, due within 5 business days.

7.6 Claims Control and Cooperation

The Company shall retain full authority to investigate, negotiate, and settle all claims. However:

• The Reinsurer shall have the right to attend all claim investigations

• The Company shall consult with the Reinsurer on all claims exceeding EUR 1,000,000 before settlement

• The Reinsurer may appoint independent adjusters at its own expense

• The Company shall provide all documentation reasonably requested by the Reinsurer

7.7 Ex-Gratia and Extra-Contractual Obligations

Ex-gratia payments and extra-contractual obligations (ECO) shall be covered under this Treaty only if:

• Prior written consent is obtained from the Reinsurer

• Such payments are reasonable and made in good faith

• The Reinsurer's consent shall not be unreasonably withheld

•

ARTICLE 8: SPECIAL PROVISIONS

8.1 Catastrophe Aggregation

For the purposes of catastrophe loss aggregation, all losses arising from a single event or series of events arising from one catastrophic occurrence shall be deemed to be one loss.

Catastrophe Definition: Any loss event affecting multiple risks within a 72-hour period and 250-mile radius.

Catastrophe Limit: The Reinsurer's liability for any single catastrophe event shall not exceed EUR 15,000,000.

8.2 Reinstatement Provision

In the event that the aggregate loss limit specified in Article 4.3 is exhausted, the Company may reinstate the full treaty capacity:

Number of Reinstatements: One (1) automatic reinstatement

Reinstatement Premium:

• Pro-rata reinstatement premium at 100% of the original rate

• Calculated on the amount of capacity reinstated

• Payable within 30 days of exhaustion notice

8.3 Portfolio Withdrawal

Neither party may withdraw any portfolio of business during the Treaty Period except:

• By mutual written consent

• In the event of material breach

• As required by regulatory authority

8.4 Termination and Run-Off

Termination: Either party may terminate this Treaty by giving **180 days** written notice prior to the expiry date.

Run-Off: Upon termination or non-renewal:

• All risks attaching during the Treaty Period shall continue to be covered until natural expiry

• Premium and loss accounts shall continue until all liabilities are extinguished

• All provisions of this Treaty shall remain in full force during run-off

•

ARTICLE 9: ERRORS AND OMISSIONS

9.1 Errors and Omissions Clause

Inadvertent errors, omissions, or delays in reporting individual risks or claims shall not relieve either party from any liability which would have attached had such error, omission, or delay not occurred, provided that:

• The error or omission is rectified promptly upon discovery

• The correction is made within **12 months** of the original transaction

• The error was made in good faith without intent to deceive

9.2 Premium Adjustment for Errors

Any premium adjustments resulting from errors and omissions shall be included in the next quarterly account following discovery and correction.

•

ARTICLE 10: INSOLVENCY

10.1 Insolvency Protection

In the event of insolvency of the Company, the reinsurance provided by this Treaty shall be payable directly to the Company, its liquidator, receiver, or statutory successor, on the basis of the liability of the Company under the policies reinsured, without diminution because of the insolvency of the Company.

10.2 Payment Priority

In the event of the Company's insolvency, payments by the Reinsurer shall be made:

• Directly to the liquidator or statutory successor

• Without requiring payment by the Company first

• In accordance with the terms of this Treaty

10.3 Set-Off Limitations

The Reinsurer's obligation to pay shall not be reduced or set off against any amount the Company may owe the Reinsurer, except with the written consent of the liquidator or statutory successor.

•

ARTICLE 11: REINSURANCE INTERMEDIARY

11.1 Intermediary Appointment

The parties agree that **[Intermediary Name]** shall act as the reinsurance intermediary for this Treaty.

11.2 Intermediary Authority

The Intermediary is authorized to:

• Receive and transmit premium payments

• Receive and transmit loss payments

• Handle all correspondence and documentation

• Facilitate quarterly account settlements

11.3 Intermediary Compensation

The Intermediary shall receive a brokerage fee of **2.5%** of the Reinsurance Premium, payable by the Reinsurer.

11.4 Intermediary Insolvency

In the event of insolvency of the Intermediary:

• Premiums shall be deemed paid when received by the Intermediary

• Losses shall not be deemed paid until received by the Company

•

ARTICLE 12: ARBITRATION

12.1 Arbitration Agreement

Any dispute, controversy, or claim arising out of or relating to this Treaty, or the breach, termination, or invalidity thereof, shall be finally settled by arbitration in accordance with the Arbitration Act 1996.

12.2 Arbitration Panel

The arbitration shall be conducted by a panel of **three arbitrators**:

• One arbitrator appointed by the Company

• One arbitrator appointed by the Reinsurer

• A third arbitrator (umpire) appointed by the two party-appointed arbitrators

12.3 Arbitration Venue

The seat of arbitration shall be **London, United Kingdom**.

12.4 Arbitration Language

The arbitration shall be conducted in the **English language**.

12.5 Arbitration Costs

Each party shall bear its own legal costs. The fees of the arbitrators and administrative costs shall be shared equally unless the arbitration panel determines otherwise.

12.6 Confidentiality

All arbitration proceedings and awards shall be kept strictly confidential by both parties.

•

ARTICLE 13: INSPECTION AND AUDIT

13.1 Access Rights

The Reinsurer or its authorized representatives shall have the right to inspect and audit all records of the Company relating to business covered under this Treaty, including:

• Policy files and underwriting records

• Claim files and settlement documentation

• Premium and loss accounting records

• Reinsurance allocation calculations

13.2 Audit Notice

The Reinsurer shall provide **30 days** written notice of its intention to conduct an audit.

13.3 Audit Frequency